

book value, and dividend yield. Seeing that the two ratios are trading near historical lows and the company has raised the dividend each year for the past 10 years, the investor might quickly conclude that the stock is a good value. Sadly, too many investors rely almost exclusively on System 1 thinking to make a decision, never stopping to engage System 2 thinking.

What does it mean to be engaged? Quite simply, it means your System 2 thinking is strong, vibrant, and less prone to fatigue. So distinct is System 2 thinking from System 1 thinking that the psychologist Keith Stanovich has termed the two as having “separate minds.”

But a “separate mind” is separate only if it is distinguishable. Put in the context of investing, the “separate mind” that inhabits System 2 thinking is distinguishable from the “separate mind” in System 1 thinking only if it is adequately armed with the required understanding of a company’s competitive advantages, the strength of a company’s management team to rationally allocate the capital of the company, the important economic drivers that determine a company’s value, and the psychological lessons that prevent the investor from making foolish decisions.

It appears to me that much of the decision making that goes on in Wall Street is System 1 thinking. It operates mainly by intuition. Decisions are made automatically and quickly with little or no time for thoughtful reflection. System 2 thinking is serious thought. It is deliberate and requires concentration. System 2 thinkers are naturally patient. For System 2 thinking to work effectively, you must allocate time for deliberation and, yes, even meditation. You will not be surprised when I point out that the tenets outlined in *The Warren Buffett Way* are best suited for slow thinking, not the rapid-fire decisions common to System 1.

The Mindware Gap

The second cause of dysrationalia, according to Stanovich, is lack of adequate content for System 2 thinking. Psychologists who study decision making refer to content deficiency as a *mindware gap*. First articulated by David Perkins, a Harvard cognitive scientist, mindware is all the rules, strategies, procedures, and knowledge people have at their mental disposal to help solve a problem. “Just as kitchenware consists of tools for working